



Investment Thesis on **Mamata Machinery**

31 August 2026

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SEBI Registration No: INP000004961

Mamata Machinery (~1000 Cr market cap, 405 per share, Emerging Leader)

Summary

- Mamata Machinery makes flexible plastic packaging machinery that converts plastic pellets into film, that film into bags & pouches and fill those pouches with food, liquid etc.
- Mamata has consistently innovated by entering new segments. Short term growth will be driven primarily by downstream packaging machinery, a segment Mamata has meaningfully invested in over last 15 years. Mamata's recently launched unique recyclable film tech ("Rectech") is both commercially and technically viable and can become a meaningful new growth engine with time.
- Moat is strong as it is backed by proprietary tech IP (Indian pioneer in Rectech, use of servo motor technology etc). An asset light business model results in growth with significant FCF generation (high ROIC of 50-60%) which can be deployed into tech partnership/acquisitions as global industry is consolidating.
- Mamata is a promoter owned company led by a highly empowered professional team that operates with an ownership mindset (own ~23%¹ of the company) and has significant longevity (9 of the top 11 leaders are with Mamata for 15+ years). The leadership team inspires trust with their track record, consistent innovation and ethical reputation. Mamata is well respected by both customers and competitors.²
- Company can grow topline at low to mid-teens for long periods given multiple growth engines. Flexible packaging is gaining share from rigid and is proxy to food/FMCG which is secular growth globally and fast growing in emerging markets as per capita incomes rise. Mamata serves global markets (nearly 2/3rd sales is exports) and is competitively positioned with 5400+ global installations and some marquee customers as references. They are well-positioned vs European peers in the mid-market segment. China isn't a competitive threat as the industry is niche, requires high customisation and after sales support and price is not the primary basis of competition.
- Profits should grow at mid to high teens as margins improve over time (favourable product & geography mix, operating leverage).
- For a high ROIC franchisee that can grow profit at mid to high teens, Mamata trades at attractive valuations (~22x normalized PE FY27e³ which implies ~4% Free Cash Flow yield).
- The stock is out of favour due to poor short-term results due to external headwinds (US tariff, West Asia crisis etc) which has delayed order off-take and revenue recognition. Mamata continues to execute well in a tough environment and over time offers scope for healthy growth and valuation re rating. We rate this as a high terminal value business and which should see more institutional interest with scale.

This is a perfect set up for us – a company with robust growth prospects, a high Free Cash Flow generating business model, a strong competitive position, run by a management team that inspires trust but which is out of favour with markets due to a short term earnings head-wind. We have initiated a ~4% position weight in Prudence and may use further price or time corrections to increase our position size subject to counter liquidity and cash availability.

¹ Owned between Mamata Management Services LLP and Mr Chandrakant Patel.

² Feedback basis Solidarity channel checks.

³ This assumes FY27 Revenue of ~270 Cr+, midpoint of normalized PATM range of ~15-18% and ~90% FCF/PAT conversion.

What do they do?

Mamata Machinery is a leading supplier of flexible plastic packaging machinery⁴ with solutions across the value chain –converting machinery, co-extrusion machinery and packaging machinery.

This is an asset light engineering B2B business with design, software coding, assembly and testing retained in house whereas fabrication and standard components are outsourced.

The customer is the food/FMCG brands either directly in packaging machinery or indirectly via converters in converting and co extrusion machinery. Mamata has 5,400+ installations globally across 80+ countries and generated 63% of sales from exports in FY26.

Product portfolio

Product	What does it do	% of FY26 sales
Co-extrusion machinery	Produces multi-layer plastic films from plastic pellets.	15%
Converting machinery (bag & pouch making machines)	Convert rolls of plastic film into bags and pouches.	47%
Packaging machinery	End of the line packaging equipment used to fill and seal the food product.	21%
Attachments & spares	Attachments sold alongside initial sale or in aftermarket which standard machine can't fulfil.	14%
After sales service	Trouble shooting either remotely via internet enabled machines or physically.	3%

We explain what these products do in the appendix. In a later section we explain why they are complex to make and have high entry barriers.

Examples of Mamata Machinery's products.



⁴ Machines that make and fill soft, bendable plastic packaging as opposed to rigid packaging.

Brief history of Mamata Machinery

The history of Mamata reflects a constant evolution into a better business by focus on introducing new products, geographical diversification and professionalization - all hallmarks of a high terminal value business.

- Company was incorporated in 1979 by Mr. Mahendra Patel a technocrat⁵ promoter. Since inception the company has been run by a professional team with ~23% of company's equity at present held by its senior leadership team. This level of equity holding by a professional team is rare globally and we have not found another such example in India. It suggests strong skin in the game and culture that rewards long-term thinking and shared wealth creation.
- Company got its first commercial breakthrough in 1989 by introducing India's first microprocessor-controlled bag-making⁶ line. It subsequently forayed into export markets in 1992.
- In 1994 Mamata pioneered servo motor technology in its machinery in India which improved speed, control, and product consistency.
- In 1997 they forayed into co-extrusion machinery through a 50:50 JV with Brampton Engineering Inc, a global leader in barrier film lines. In 2013 Mamata acquired full ownership of the JV along with technology transfer.
- In 2003, company incorporated Mamata Enterprises Inc as a 100% owned subsidiary to focus on the North American markets with a dedicated facility set up in 2010.
- In 2011 Mamata forayed into the packaging machinery space by initially working on the horizontal form fill seal (HFFS) machine. Later in 2022 they entered the vertical form fill seal (VFFS) machines and subsequently into secondary packaging.
- In 2026, Mamata made significant innovation in sustainability with "Rectech", a technology to run fully recyclable mono material films at a competitive cost which we believe can become a meaningful growth driver over time.
- Mamata is currently run by CEO Mr. Apurva Kane who has been with the company for 41+ years, with current president Mr. Rajashekar Venkat poised to become next CEO from October 2026 as part of a planned leadership transition.⁷

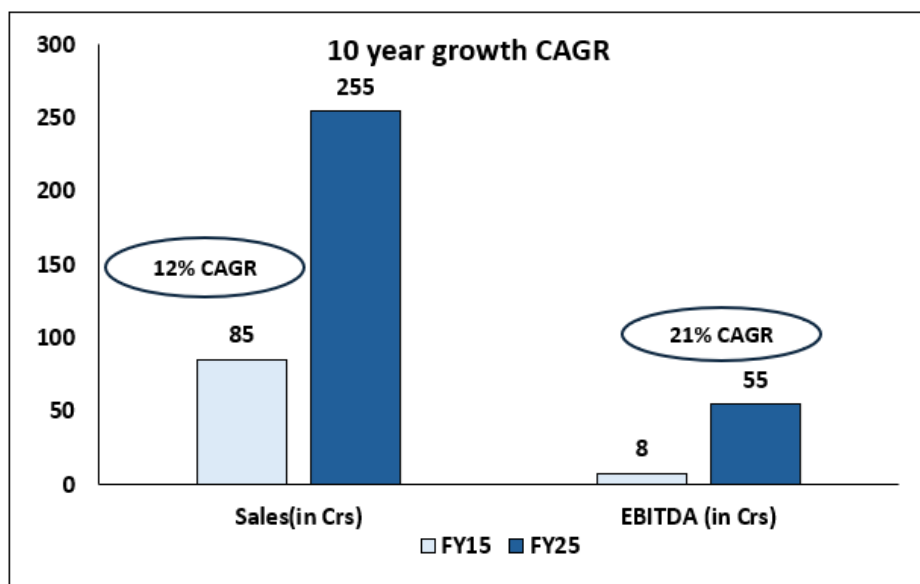
Mamata Machinery has demonstrated healthy growth over long periods of time

Even though the short term has been challenging, Mamata over long periods has a healthy track record of execution (~12% topline growth and ~21% EBITDA growth over a decade). Growth has been consistent with few down years as end FMCG/food demand is resilient and Mamata is well diversified across segments and geographies.

⁵ Mr Mahendra Patel has a diploma in mechanical engineering and a Master of Science in industrial engineering and administration from Cranfield Institute of Technology UK.

⁶ This was superior to existing systems as microprocessor integration removed ~65% of mechanical components from bag making machine.

⁷ Mr Apurva Kane will continue to be associated with Mamata's strategic decision making and will lead "Rectech" and IR.



Source: Ace Equity.

Growth has been accompanied by improvement in earnings quality, resilience in business model.

- Business today is significantly diversified across geographies (export is 63% of sales), across customers (top 5 customers are ~21% of sales) and segments (converting machinery contribution as % of sales has reduced over the last decade).
- Mamata is a proxy to food/FMCG sector which is a secular growth opportunity globally. In the past decade, Mamata has only seen gross profit degrowth once⁸. We believe business predictability will further improve as business further diversifies across geographies (higher sales from Europe, ROW) and segments (packaging segment which is less lumpy scales up) and fixed costs % sales reduce with scale.
- Mamata's EBITDAM has expanded from 9% to ~21% over FY15-25 due to better mix (exports, product mix), technology and design efficiencies (redesigned steel frames, remote troubleshooting) and operating leverage.
- Balance sheet is resilient (net cash of ~60 Cr FY26) and Mamata enjoys high normalized pre-tax ROIC (50-60%) which supports reinvestment.
- Manufacturing footprint has simplified with all manufacturing activity consolidated in Ahmedabad facility in 2018, with US facility now being used for after sales service, assembly.

⁸ EBITDA has seen more YoY volatility versus gross profit as Mamata was in growth phase and was making ahead of time investments (Employee costs, exhibitions etc).

Business evolution over time

Particulars	Decade back	At present
Business model	Converting machinery specialist	Comprehensive flexible packaging machinery solutions provider
Product range	Mainly converting machinery	+ Co-extrusion machinery + Packaging machinery, within which expanded from only • Solids to liquids • Primary to secondary packaging
End industries	Garment, Ecommerce	+ Food & beverage, FMCG and Pharma
Key customers logos	Mainly converters with focus on few India/USA customers. Dhalumal packaging, Huhtamaki, Flex Pak packaging	Converters + B2C brand owners P&G, ITC, Hersheys, Kelloggs, Balaji, Gits, Haldiram, Bikaji, Chitale Indirectly (converting machines)- Amazon, DHL, Flipkart
New competencies Developed	Converting- Win/Vega series for bag/pouch making Co-extrusion – 3/5 layer blown film Packaging- HFFS only	Converting- expanded product range Co-extrusion- entered 7 & 9 layer blown films Packaging- + VFFS, secondary packaging Recyclable mono material film 5 patents granted, 3 pending
Customer concentration	Highly diversified No customer > 10% of sales	
Geography Mix	~20% of sales were exports Exports was US focussed	63% of sales is exports Diversified across 80+ countries. (37% of sales India, 26% North America and 37% ROW)

Business evolution has translated to better economics over time

Key financial metrics	FY15	FY19	FY24	FY25	FY26	Comments
Sales	84	100	237	255	233	
Gross margin (%)	57%	55%	57%	61%	55%	More exports, better product mix, price hikes, design related cost savings
EBITDA margin (%)	9%	8%	20%	21%	10%	+ Operating leverage
Net profit margin (%)	0%	2%	15%	16%	6%	
ROIC (%) (pre-tax)	5%	10%	47%	50%	14%	Improving margins, asset turns
Inventory days	153	133	107	117	115	High WIP as long lead times to make machines. Spare parts to support legacy machines sold.
Debtor days	82	61	58	45	63	
Creditor days	90	95	44	39	40	
Customer advance days	35	30	72	54	47	15-30% of order collected as advance
loan & advance days	48	23	10	10	17	
Other days	-10	-11	-20	-22	-13	
Working capital days	148	80	40	58	95	
Net Debt EBITDA	5.9	1.3	-0.9	-1.2	-2.8	Net cash B/S
GFA turns	1.66	2.13	3.31	3.48	3.10	Asset light business model
NFA turns	2.25	3.34	3.84	4.07	3.58	Better capacity utilisation

FY26 was a challenging year for Mamata due to multiple headwinds (Revenue degrew ~8% due to US tariff issue, West Asia crisis impacting deliveries with EBITDA margin falling from 22% to 10% due to unfavourable geography mix with lower exports, negative op leverage, high polymer prices, one-time costs related to exhibitions, labour code).

Mamata Machinery is very well positioned for sustainable growth over long periods of time

We believe Mamata can grow revenues low to mid-teens and profit mid to high teens over time as

- **End user industry enjoys multiple tailwinds**
 - Mamata is proxy to secular growth opportunities in FMCG, food & beverage, pharmaceutical and e-commerce sectors.
 - Flexible packaging is gaining share versus rigid due to cost-effectiveness, adaptability and lower carbon footprint.
 - More automation at packaging plants for superior speed, cost efficiency & precision.
- Mamata has consistently expanded its TAM by entering new segments. We see scope for non-linear growth prospects in packaging machinery, a segment which company has invested behind for past 15 years. Global peers have diversified presence across multiple segments/industries. Over time we expect Mamata to continue to move up the value chain which will drive growth longevity.
- Favourable environment for Mamata to gain market share
 - Mamata can gain share from European players due to significant cost advantage and comparable quality in the mid-market segment.
 - The West especially US has seen shutdowns due to loss of manufacturing competitiveness.
 - Mamata will benefit from reducing trade barriers (EU-India FTA deal finalized, US trade deal in talks).

- The threat from Chinese players is low vs other industries given their limited presence in this industry (niche segment requiring strict hygiene standards, high customisation & after sales support). The Chinese tend to be dominant in high-volume manufacturing.
- Rectech (Mamata's recently launched unique offering in sustainable packaging) and cash optionality (potential acquisition as industry consolidates globally) provide additional growth upsides.
- Profit growth should be faster due to product mix change (higher share of packaging machinery in exports) and operating leverage.

The flexible packaging industry is a large and growing opportunity

Global industry is expected to grow at mid-single digit over time. End customer demand is secular as it is consumption/healthcare related (food, beverage & pharma etc) with some short-term cyclicity as packaging machinery demand is driven by capex plans which can be lumpy.

Covid and rise of quick commerce have been a catalyst for consumer shift towards packaged food and given India and other emerging markets (~60% of sales) are early in the consumption growth cycle, we expect industry growth here to be faster at high single to low double digits.

While rigid packaging is ~65%⁹ of the global industry, it is losing share to flexible packaging which is more cost effective, light weight reducing transportation costs & has lower carbon footprint. Flexible packaging penetration in India is lower and is expected to grow at double digit levels.

Need for more automation at factory level due to labour shortage issues, stringent quality parameters (hygiene standards, consistency & higher output) are driving more demand for packaging machinery.

Mamata Machinery has innovated to enter new segments and expand its TAM. The key growth driver short term will be packaging machinery.

Mamata has evolved from a single segment player (converting machinery) to a diversified packaging machinery supplier across 3 verticals which has resulted in a multi fold expansion in global TAM.

Particulars	Converting	Co extrusion	Flexible packaging	
			Primary	Secondary
Year forayed	1989	1997	2011	2026
Revenue FY26	~110 Cr	~35 Cr	~50 Cr	Nil
TAM – India	150 Cr	900 Cr	850 Cr	500 Cr
TAM - global	1500 Cr	~9000 Cr	\$2.5bn	\$1.25bn
			\$8bn broader flexible packaging Machinery	

*Source: management and industry estimates.

Expansion into newer segments is strategic (co-extrusion foray was moving up the value chain into film making whereas packaging was entry into end of line packaging). As a one stop solution player, Mamata can cross sell end to end solutions to its existing customers while ensuring superior quality with full control over the entire film life cycle (polymer knowledge gained from upstream co-extrusion leads to better filling/sealing in packaging machinery).

⁹ Source: https://cdn-odi-production.s3.amazonaws.com/media/documents/odi-et-cp-packaging-report-sep20-proof02_final2.pdf.

We believe packaging machinery segment can grow at nonlinear growth rates (25%+ CAGR¹⁰) over the next few years.

- Mamata entered this segment in 2011 by initially focusing on getting a foot in the door with HFFS machinery which took 5 years to develop. Despite only focusing on just two markets (India, USA) Mamata has demonstrated very strong growth rates (40%+ CAGR over last decade to reach ~50 Cr sales) by becoming cost competitive post shifting manufacturing from US to India in 2018 and through product portfolio expansion¹¹.
- They recently expanded from primary to secondary packaging and beyond solids into liquid items¹². Segments like RTD/RTE¹³, pharma, seeds etc are untapped at present.
- As the product is now well established, Mamata intends to grow in existing markets as well as enter new markets (Europe, Africa, Russia & Middle East etc) supported by investment in sales team, global partnerships (sales/service tie up with Carpentier GmbH to target new markets like Europe and South Africa¹⁴) and large investments in sales exhibitions (~5% of sales in FY26).

With packaging machinery, Mamata can now directly target the brand owners as customers. With a strong installed base globally, Mamata has done the difficult part of building trust with marquee customers. These names should act as strong reference to onboard new customers.

Co-extrusion		Converting		Packaging	
					
					
					
					
					
					
					

¹⁰ Managements aspiration is to grow segment at 30-40% CAGR.

¹¹ Expanded from HFFS to VFFS, Pick-fill-seal, multi lane sachet packaging.

¹² This expanded TAM by 40%.

¹³ Ready-to-eat and ready-to-drink.

¹⁴ Estimated market size is \$800Mn.

Other two legacy segments (converting machinery and co-extrusion machinery) are expected to deliver more moderate single digit growth rates.

- In converting machinery company is the market leader in India and a top player globally with a strong reputation. This segment is expected to grow at high single digits (8-10% CAGR) driven by market share gains (superior price/performance vs West) and expansion into more complex formats (flat bottom/spouted pouches etc).
- Co-extrusion machinery is a cyclical and competitive segment in India. Mamata aims to differentiate itself by focusing more on export markets and high-end lines (5/7/9 layer blown film lines) where competition is limited and margins are better.

Mamata has a unique offering in recyclable technology which can be a meaningful growth contributor in the medium to long term

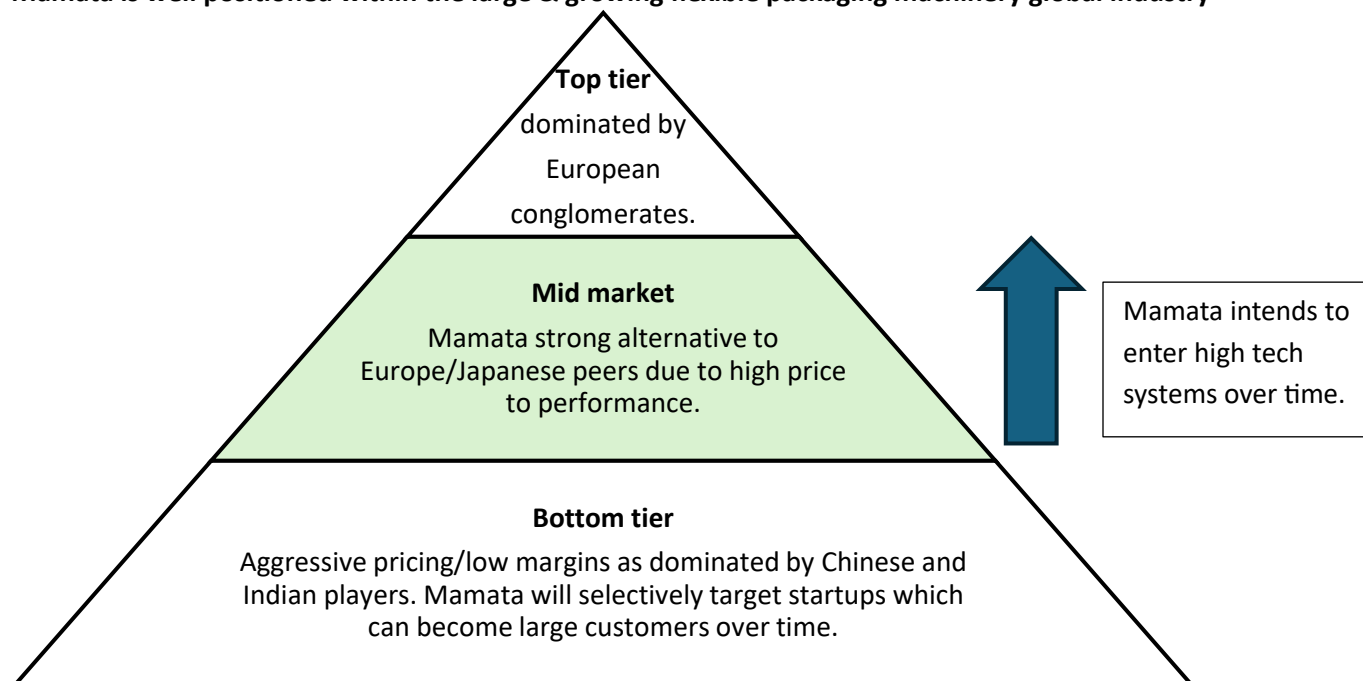
Globally and in India we are seeing a strong push towards more sustainable packaging with EPR norms¹⁵ in India mandating recycled content¹⁶ of 10% over 2025-27 and 20% thereafter which increases compliance pressure on brand owners. Mamata is the only Indian player to have developed a unique solution that is both technically and commercially viable. Mamata has spent the past decade in R&D to develop this technology that processes virgin mono material film which replaces multi-layer composite films (PET + PE) that is difficult to blend with recycled plastic¹⁷. “Rectech” has received certifications from prestigious institutions (Institut cyclos-HTP GmbH EU and CIPET, Bengaluru whereas Association of Plastic Recycling (APR) USA is under progress) which will strongly enhance customer credibility. The technology is now commercially viable at Rs 250 per kg (close to Rs 200 per kg for non-recyclable films and meaningfully cheaper vs other recyclable film options at Rs 320-380 per kg). With 1 & 125Mn tons of domestic/global PET + PE plastic consumption p.a., this can be a significant opportunity for all three segments with possibilities for superior margins due to tech IP.

¹⁵ Extended Producer Responsibility (EPR): Under the Plastic Waste Management Rules, brand owners are legally responsible for collection and recycling of plastic waste they introduce. Failure to meet these norms can result in environmental compensation costs of ~₹5-20/kg.

¹⁶ % recycled plastic as input material in new packaging.

¹⁷ It degrades barrier performance due to contamination issues.

Mamata is well positioned within the large & growing flexible packaging machinery global industry



- European players¹⁸ dominate this industry as they have historically enjoyed long term relationships with MNC owners and are considered the gold standard for high precision technologies¹⁹. However high labour, energy and overhead costs have resulted in large cost disadvantage (priced nearly 200-300% more expensive versus Indian alternatives²⁰). Mamata today can offer a superior TCO (Total cost of ownership) by offering reliable quality with superior costs and delivery (frugal engineering & lower power cost, cheaper spares & maintenance cost, strong after sales support, lower lead times etc).
- This edge offers a strong entry point especially in the mid-tier segment in packaged foods or ROW operations of MNC customers. As Mamata continues to innovate and expand its product range, any perception issues or product gaps²¹ versus European peers can be bridged over time.
- USA continues to remain an import dependent market with limited local vendors. Industry has seen high consolidation. Since 2003, two of the three key players have shut down (Ro-an, Amplas) while the 3rd player was acquired. (Hudson Sharp taken over by Barry-Wehmiller).
- Mamata has a Debt free Balance Sheet and generates large FCF. Consolidation in the West can present opportunities for acquisition, tech transfer or manufacturing tie ups which can be value accretive if done prudently. There are other categories²² which Mamata can enter over time, which can provide growth longevity.

¹⁸ BW Packaging, Promach, SIG, Syntegon etc

¹⁹ High consistency, low material variation, mechanical tolerance as low as 0.1mm etc.

²⁰ Feedback from mgmt. team validated by customer checks.

²¹ European players operate as conglomerates covering majority of the packaging machinery requirements of large MNC customers. They have an edge in large, high precision & high-speed lines that need consistent high outputs on a 24x7 basis for many years (useful life goes upto 25 years).

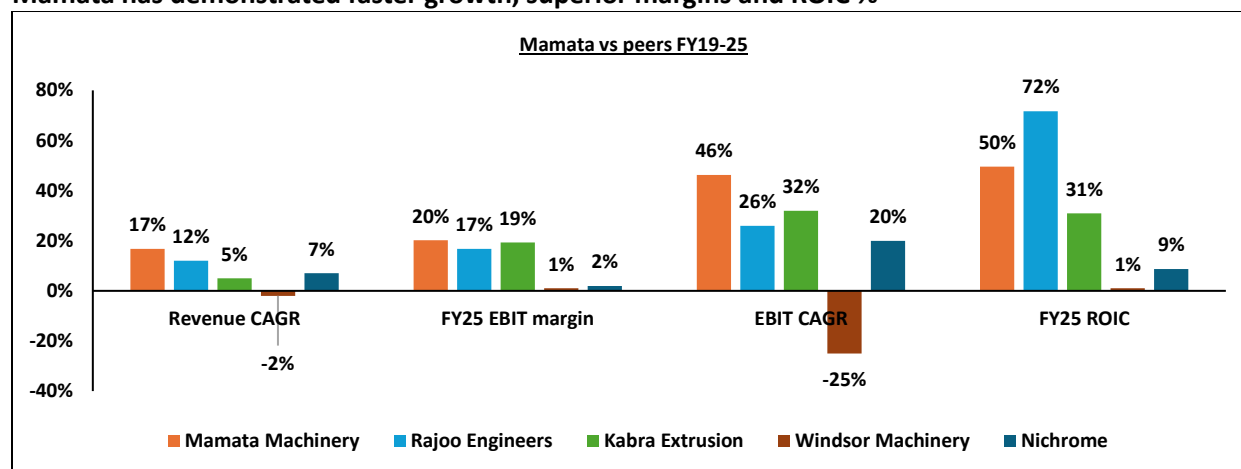
²² Segments like Retort packaging, lamination & coating, printing machinery etc or end industries like agri/seeds, personal care, pharma etc.

- Chinese competition at present is limited to few pockets (price conscious lower tier customers with lesser quality requirements). Chinese manufacturers usually dominate in high volume mass segments however flexible packaging machinery is a niche industry which involves high levels of customisations, stringent hygiene standards, strong after sales support.

Mamata Machinery is uniquely positioned within the Indian packaging machinery industry

- Mamata is uniquely positioned in the Indian landscape with its integrated set up (presence across all 3 segments whereas peers are single vertical focused²³), high focus on exports (63% of sales) which has helped them grow faster with lower cyclicality while delivering better margins and ROIC.

Mamata has demonstrated faster growth, superior margins and ROIC %



*For peers, data pertains to like to like packaging machinery segment only.

We received very positive feedback on Mamata from both customers & peers suggesting a strong competitive edge

Expert	Feedback
FMCG MNC customer	"Mamata is a premium challenger versus Indian peers and value challenger versus MNC. Excellent total cost of ownership, 30–40% more cost effective than European alternatives" "Unlike European and Indian peers, Mamata demonstrated immense flexibility in custom-engineering machines to meet safety standards" "MNC very positive on Rectech as highly scalable commercial opportunity given stringent EPR mandate. full recyclability and cost viability at the same time."
Indian sustainable packaging customer	"Unlike Indian peers, Mamata showed strong willingness to innovate by working on the compostable-compatible machine. Mamata also had better quality and after sales service".
MNC confectionary customer	"Despite higher material loss vs MNC, Mamata machine over lifecycle was more affordable".

²³ Windsor, Rajoo and Kabra are focused on co-extrusion and Nichrome on packaging machinery.

Indian snack & namkeen customer	"Mamata gets in a product, establishes it completely, gets the quality right before aggressive selling."
Middle East based customer	"Mamata can compete with European companies on quality. Prefers Mamata over Lemo (Germany) and Lebarr (Italy).
Co- extrusion machinery competitor	"Mamata is ahead of the curve vs other players in India. The tech that they have developed is not easy to replicate." "Mamata's recyclable films machine are very unique."
Packaging machinery competitor	"In snack food, Mamata's high-speed machines at an Indian price are easily comparable to European technology." "For HFFS, Mamata has moved fully to servo machines which is genuine value add as much of the market still runs mechanical machines."

Profit growth at mid to high teens should be faster than topline growth

- Packaging machinery is higher margins and is expected to grow at a faster pace. Share of higher margin exports should increase as this segment currently is India focused.
- Scope for operating leverage as existing facilities can generate 500 Cr sales (Vs ~235 Cr FY26) while fixed costs are ~25% of sales today.
- Non-linear growth in "Rectech" can potentially lead to better margins if Mamata chooses to price differentially.

Mamata enjoys healthy ROIC backed by strong competitive positioning and technology edge

Mamata is a well-established player with 3 decade+ experience and is the only Indian player with presence across the entire value chain. In its flagship converting machinery segment (~47% of sales) it's the domestic market leader and one of the top players globally. In co-extrusion its sharply positioned as a high-end technology provider. In packaging machinery, Mamata is rapidly gaining market share by adding marquee customer names.

Mamata works with marquee customers and their feedback on quality, service support, price competitiveness has been highly favourable basis our customer checks. Mamata is considered technically superior in its key products vs other Indian peers and can compete with European peers.

Making these machineries requires multi-disciplinary knowledge (polymer, mechanical engineering, heat engineering, servo motion control, seal chemistry etc). Mamata has been able to achieve this level of technical expertise given 3 decade+ experience and team strength (employs 90+ engineers/application experts with average 15-year experience, including in house software coding for servo motor control which is an edge in highly complex machines). Mamata is thus able to offer industry leading warranty (18 months comprehensive) while maintaining low warranty related costs (< 0.5% of sales).

This is a wide moat business as building technical expertise requires deep domain knowledge

- Converting machinery are required to cut, fold and seal accurately at high speeds which needs expertise in mechanical design (every pouch has unique fold/forming geometries), servo motion control to ensure various processes are synchronized, heat sealing science and precision die cutting etc.

- Making co-extrusion machinery requires deep polymer knowledge²⁴ and stringent die design, stringent screw & barrel machining tolerance to ensure film consistency and uniformity across multiple layers. 7/9-layer barrier film lines are highly complex to make and must deliver on oxygen, moisture barriers while controlling higher layer interaction risk. Building Rectech was technically challenging as recyclable mono material is highly fragile and so required complex sealing²⁵ to ensure film integrity while running at high production speeds while delivering on oxygen/moisture barrier performance.
- Packaging machinery requires unique product handling knowledge (food, liquid or powder), precise synchronisation across sub systems at high speeds (cutting, filling & sealing etc) and adherence to stringent food related hygiene standards.

Mamata's moat translates to healthy ROIC

We expect Mamata to generate steady state ~22-25% EBITDAM which translates to ~50-60% ROIC, which means company can grow while generating meaningful FCF.

- Gross profit margins should sustain at 60%+ levels which translates to EBITDAM expansion to 22-25% given favourable mix (more value-add machinery, exports) and operating leverage.
- Business is asset light (~6-7x NFA turns) as Mamata controls the design, assembly in house whereas they procure components from a robust supply chain network (~250 local vendors who are largely dependent on Mamata for business and where relationships have been sticky).
- Despite high inventory days, steady state NWC days are low (~60 days) given tight collection cycle (customer advances are 15-30% of order).

SS ROIC tree table	5 years out				Comments
	FY25	FY26	Scenario 1	Scenario 2	
Sales	100	100	100	100	
Gross profit margin %	61%	55%	62%	63%	Better product mix (higher share of Packaging machinery and exports)
EBITDAM %	21%	10%	22%	25%	Operating leverage
Depreciation % of sales	1.3%	1.8%	1.2%	1.2%	Debt free, asset light high ROIC business
EBITM %	20%	8%	20%	23%	
Finance cost % sales	0%	0%	0%	0%	
Core PATM %	14.6%	5.6%	15%	18%	
GFA Turns	3.5	3.1	4.1	4.1	
NFA Turns	4.1	3.6	6.6	6.6	
Debtor days	45	63	45	45	
Inventory days	117	115	115	115	
Creditor days	39	40	40	40	
Customer advance days	54	47	55	55	Receives advances from customers when they place orders
Loan and advance days	10	17	10	10	

²⁴ How different polymer types behave under heat and shear.

²⁵ Mamata has patented cross sealing device and multipurpose sealing module which solves for sealing issue.

Net liability days	22	12	15	15	
NWC days	58	95	60	60	Tight control on debtor days and customer advances
Net debt/EBITDA	Net cash				
Pre-tax ROIC %	50%	14%	53%	61%	

Leadership team longevity inspires trust

The business is led by a professional team that has been with the company for multiple decades and owns 23% of the company. This level of equity ownership amongst professionals for any company in India is rare.

Name	Designation	Time with Mamata	Industry experience
Apurva Kane	CEO	41+	41+
Dipak Modi	CFO	26+	33+
Madhuri Sharma	CS & Compliance Officer	15+	15+
Rajashekar Venkat	President	1+	28+
Dharmisth Patel	President – MEI	21+	21+
Prashant H. Pandya	Business Head - VFFS Division	4+	41+
Dharmendra Panchal	Business Head – Converting	35+	37+
Snehal Patel	Business Head - HFFS Division	34+	34+
Hemang Mistry	Senior Manager Design	28+	28+
Jignesh Shah	IT Head	26+	26+
Kishan Patel	HR & Admin Head	20+	34+

We believe our buying price offers reasonable valuations for an initial position

Mamata Machinery is an attractive business to own given it enjoys healthy growth prospects, generates strong FCF due to high ROIC backed by strong technology edge. Mamata is one of the rare manufacturing companies out of India that have outpaced their Indian peers and are able to compete with European MNCs on quality in their key segments.

Mamata stock price is down ~32% since listing in December 2024 as weak short-term earnings due to external challenges has resulted in stock going out of favour. We believe these challenges are transient, Mamata continues to invest behind growth in a tough environment and should demonstrate sustainable growth as environment normalizes, new segments fire and business diversify further.

Mamata trades at ~22x normalized PE FY27e which is attractive for a unique growing business. Over time we expect more institutional ownership and research coverage (both minimal today) given high franchise quality which should drive sustainable valuation rerating.

We have initiated a ~4% position weight in Prudence and may use further price or time corrections to increase our position size.

Appendix

Examples of Mamata's products

1) Blown film lines (Co-extrusion segment)

Machine	What does it do
3-layer blown film lines	Entry-level co-extrusion line for general food, industrial and consumer films.
5- & 7-layer blown film lines	Higher Barrier strength & seal performance for edible oil, dairy, frozen food.
9-layer blown film lines	Advanced line for demanding applications - ultra-barrier food, recyclable film, pharma.

2) Converting machines (Bag & Pouch making segment)

Machine	What does it do
Win 305 CP, Win 410 CP	Compact pouch making machines for powders, spices, and industrial packs.
Win 410/500/610 PM, Terra 500 PM, Vega 500 SF	Lines used for mid-to-large pouch formats, zipper pouches, including five-side-seal and recyclable stand-up pouch formats.
Vega Plus 410/610/820/1020/1220	Mamata's flagship high-speed, multi-format pouch-making lines for centre seal, lap seal, three-side seal, zipper, stand-up pouch, pet food, vacuum & recyclable pouches.
Vega 285 PM / 285 PM Spout	Compact pouch making machine for zipper and spout pouches for liquids & beverages.
Win 750 P, Vega 600/750 Plus, Vega 1000 S, Quadra 600	Side seal bag machines for shopping, garment, courier, dotted-seal (easy-open) bags
Win 600–1400 B, Vega Plus 800/1000/1200, Vega Plus 1200/1400 Split	Bottom-seal bag machines for slit-seal, patch-handle bags, tissue-roll, pet food bags, and bulk / industrial bags.
Vega W600 / W800 / W1000	Servo Wicketer machines producing bread bags, poultry/chicken bags, sanitary napkin bags, diaper bags, etc.

3) Packaging machines

Machine	What does it do
HFFS — VegaPack M-Series	Forms, fills, and seals stand-up pouches horizontally. Used for snacks, cereals, pulses, pet food and produce categories.
PFS — pick-fill-seal (incl. PFS-250 six-station)	Fills and seals pre-made pouches. Offers flexibility for multiple formats without changeover downtime. Six-station variant for higher throughput.
VFFS — VFC 230	Forms, fills, and seals pouches vertically using gravity, ideal for pillow and gusseted pouches across snacks, powders, and pet food.
Multi-lane sachet machine	Produces multiple four-side-seal sachets simultaneously. Used for Powders, single-serve, pharma, and nutraceuticals.
Spout pouching machine	Fills and seals spout pouches. Used for beverages, sauces, liquid foods, personal care.
Secondary packaging — SPH 100	End-of-line automation machine that groups and prepares finished pouches for cartons and cases.

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